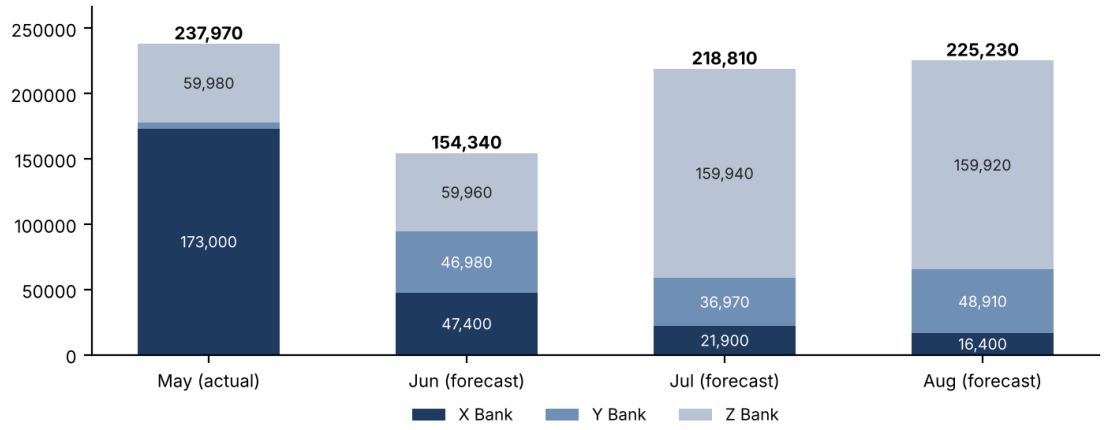
Cash Flow Forecast: May to August

A bank-by-bank forecast across three accounts, with one month of actuals and three forecast months. Sample company, illustrative figures.

The short version

Total cash closes May at 237,970 and ends August at 225,230. In between, June is the pressure point: collections of about 90,000 are outweighed by 173,630 of payments, so cash drops by 83,630 to 154,340. The cause is two large items, 58,000 of inter-company payments and a 100,000 non-operating payment from Z Bank. July recovers to 218,810, and August brings another round of inter-company settlements (68,050) which keeps the closing balance almost flat.

Amounts as shown in the model	May (actual)	Jun (forecast)	Jul (forecast)	Aug (forecast)
Cash inflows	90,100	90,000	90,100	90,100
Cash outflows	31,130	173,630	25,630	83,680
Net inflow / (outflow)	**58,970**	**-83,630**	**64,470**	**6,420**
Opening balance	179,000	237,970	154,340	218,810
Closing balance	**237,970**	**154,340**	**218,810**	**225,230**



Closing cash by bank account.

How the model works

Each bank column takes its opening balance, adds net inflow (inflows less operating, inter-company and non-operating payments) and then applies a fund transfer to get the closing balance. Transfers between banks net to zero, so they move cash around without changing the total, and the closing balance of one month becomes the opening balance of the next. All sales collections arrive in X Bank, while most of the inter-company and large one-off payments are made from Y and Z. The model takes collections and payments as monthly totals, with no receivables ageing, customer-level forecast or debt schedule, and all figures are illustrative.

What the transfers are doing

Before transfers, Y Bank and Z Bank would both be overdrawn in June (by 3,020 and 90,040), so 200,000 is moved out of X Bank: 50,000 to Y and 150,000 to Z. In August Y Bank would be 31,090 overdrawn without an 80,000 transfer. The transfers keep every account positive, but they also drain X Bank, which ends August with only 16,400 while Z Bank holds 159,920. A sensible next step is to set a minimum balance for each account and size the transfers to that rule, rather than moving round numbers.